ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 03 - MACRO ECONOMIC TO MICRO TECHNICAL

INTRODUCTION TO MACROECONOMIC TO MICRO TECHNICAL ANALYSIS

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Welcome back folks, this is the sixth of eight teachings in the November 2016 curriculum of the ICT Mentorship. We're going to be teaching Macroeconomic to Micro Technical. I'm showing you here one of the secrets to how I'm able to call the markets as I do.

- This is a macro perspective, not a day trading perspective.

- It's not something that's going to be forcing you to look at 15-minute charts, not even an hourly chart, not even a four-hour chart. We're going to be looking at daily charts only.

You probably are wondering why there's a top secret image here at the bottom. Below this cover is going to be one of the closest guarded secrets of my repertoire. When I look at the marketplace, I use this as a barometer to help me determine where the long-term trend of the marketplace is going.

- A lot of folks will scour bank reports, but my opinion is why would a bank tell you what their intentions are? It doesn't make any sense; it's like a football team telling you their plays for the Super Bowl.

IDENTIFYING LONG-TERM MACRO VIEW WITH INTEREST RATES

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When I look at the marketplace for a long-term macro view, I'm looking for an insight that would give me a three to six month outlook on where currencies may be heading and in what direction.

- One of the things I use for that is interest rates.

- The way I find interest rates is by looking at the bond market, specifically the 30-year treasury market. This gives me the insights I need for interest rates on an intermediate to long-term basis (three to six months).

QUARTERLY SHIFTS IN MARKET DIRECTION

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What I look for is every three to four months, there is a quarterly shift that takes place. Whatever trend or market condition is prevalent for right now, in three to four months' time, there's usually a shift.

- There's either a reversal, or an extended period of consolidation, and then a future resumption of the trend, or again, a reversal.

- Every three or four months, I'm looking for a change in direction because I believe there is a quarterly shift that takes place in the marketplace. You'll learn a lot about that later in this mentorship.

For now, I want to teach you how I use the bond market and how you use interest rates as a precursor for where the markets may go. I don't require a whole lot of fundamental data to sift through. I don't believe I have enough time in the day to go through all that.

- I don't have time to keep up with extensive fundamental analysis, and quite frankly, I'm not that astute to be able to discern what all that data is.

- What I require is a visual interpretation of that data, and I subscribe to the bond market telling me that. If I can read price action in the bond market, and also the 10-year notes, I can get a feel for what the market is wanting to do – trade higher or lower – which gives us a good basis on what the interest rate market is going to do.

BOND MARKET AND DOLLAR INDEX CORRELATION

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Let's look at the June, July, August time period. The top chart is the Dollar Index daily chart, and the lower chart is the Treasury bond market (December contract).

- Between July and August, there was a high that formed in the bond market. This summer, I mentioned that the debt market was going to have a major decline across all debt instruments, implying that interest rates were going to go higher.

- If interest rates go higher, that allows the Dollar Index to go higher. When interest rates go higher, the bond market is going to drop. As the bond market rallies, that's a lowering of interest rates. When it drops in the futures market, that is an increase in interest rates.

30-YEAR TREASURY BOND BENCHMARK AND SMT DIVERGENCE

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The 30-year Treasury bond is the benchmark for US mortgage rates. There is another interest rate asset market I look at, which is the 10-year note; we'll look at that later in this teaching.

- Observe when the bond market is creating a high at the same time that the Dollar Index is making a low.

- In the last week of June, the Dollar Index made a low and failed to make a lower low. At the same time, the bond market was making a higher high.

- In lesson five of this month's teaching, I taught you the SMT divergence relative to the Dollar Index and foreign currencies. That same idea is applied here for an interest rate divergence, looking at how the bond market interacts with the Dollar Index.

Around every three to four months, there's going to be this underlying change. This underlying change in trend is seen in the Dollar Index with the failure to make a lower low at the same time the bond market made a higher high.

- The market traded softer all the way into the midway point of August, with consolidation in the bond market as well.

- Then we saw the movement higher on the Dollar Index, at the same time seeing weakness in the bond market, which means interest rates are increasing.

- This means now we have the Dollar Index pulling back into a down candle, which is a bullish order block, so we can expect to see prices move higher on the dollar, which will send the bond market lower. When we see this rally up, it's returning back to an up candle, which is a bearish order block, and it sells off again.

ACCELERATION OF DOLLAR BUYING AND US ELECTION IMPACT

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This sell-off accelerates the buying in the dollar. If the dollar is going to accelerate higher, let's go back to this time period and reflect on the analysis I was giving in the mentorship. I was looking at this particular time period on the dollar and said we were going to start going higher, looking for the 101-102 mark.

- The reason I suspected that was because I was looking at dollar pairs that start with 'USD' in their name, like Dollar CAD, Dollar Swissy, Dollar Yen. The Dollar CAD supported the idea of going long or higher.

- At the same time, the bond market was rallying up, returning back to a bearish order block. I knew what to expect: if we turn the tide and start going lower on bonds, that drop in bonds is an increase in interest rates. An increase in interest rates will see an aggressive pouring in of funds to buy up the dollar.

- We then saw that aggressive rally. The market showed a willingness, even with a small deviation attributed to the US elections (nobody knew what to expect). ICT, however, said Trump was going to win. Overnight, futures were tanking, the Dollar Index sank, and Dow Jones futures were down significantly. But the very next morning, everything was back to normal, and the dollar has been rocketing up since. At the same time, we've seen an accelerated sell-off in the bond market, which means there's an increase in interest rates.

When we look at the marketplace like this, utilizing the bond market to help us, we can use that same idea as it relates to looking at divergence between the bond market and the Dollar Index. I won't go into great detail because you know what I mean by that, using what was taught in the fifth teaching of this month's content.

10-YEAR NOTE AND 30-YEAR BOND SMT DIVERGENCE

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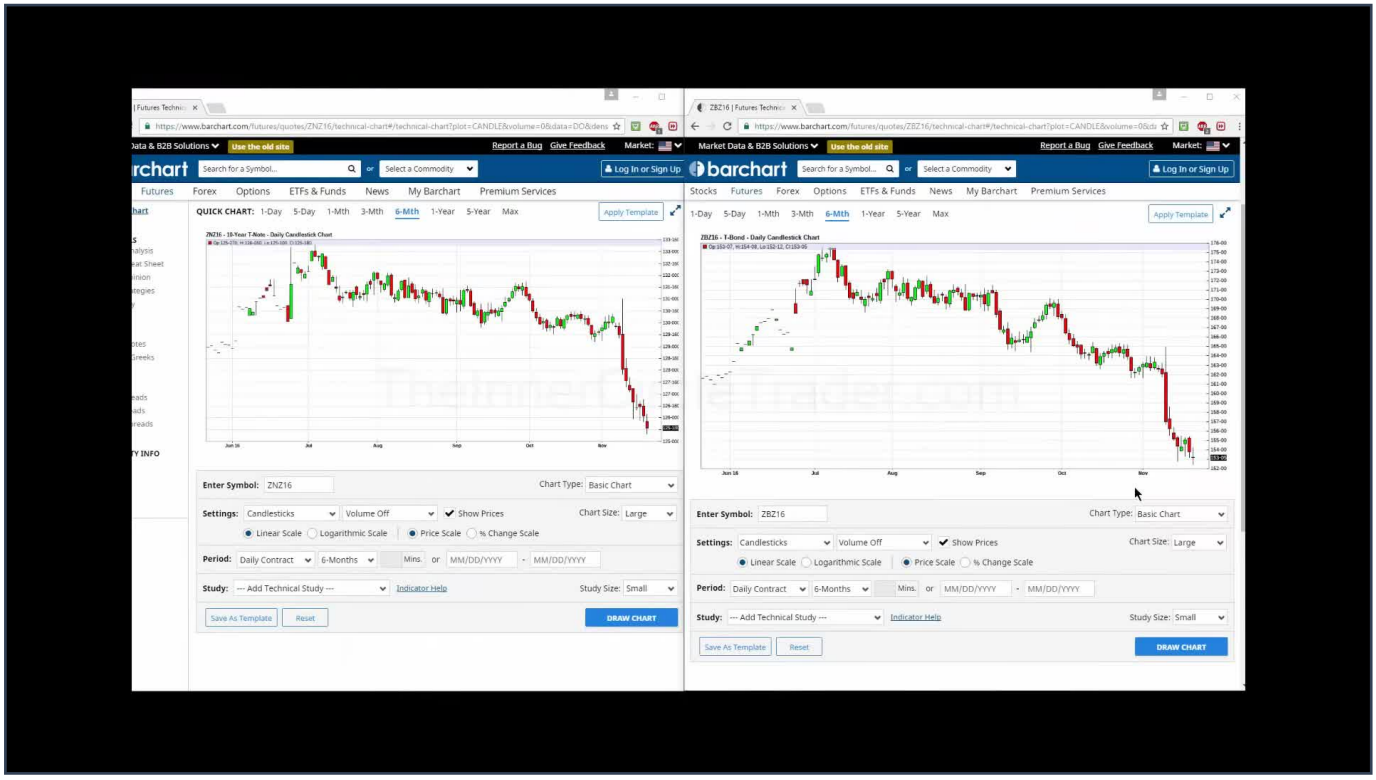
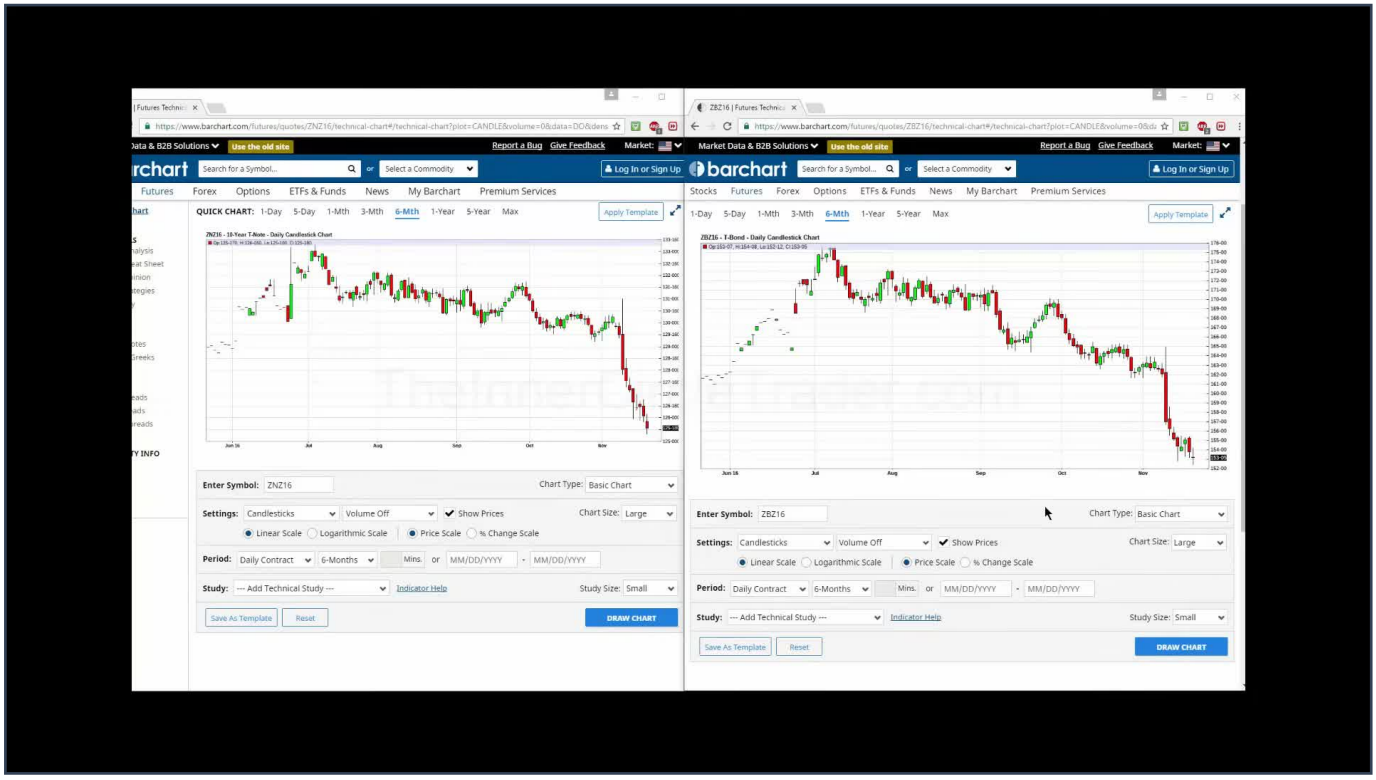


Folks, we have the 10-year note to the left and the 30-year bond to the right. I want you to take a look at the SMT divergence that we have in these two charts, and how that assisted us in currency market analysis. Again, this is a long-term to intermediate-term concept, aimed at giving you the next three to six months outlook on where currency should be going.

- Take a look at the 10-year note making a higher high, at the same time the 30-year made a lower low. The bond market took off lower, so in the second week of September, we saw interest rates increasing by the effects of the bond market and 10-year note declining.

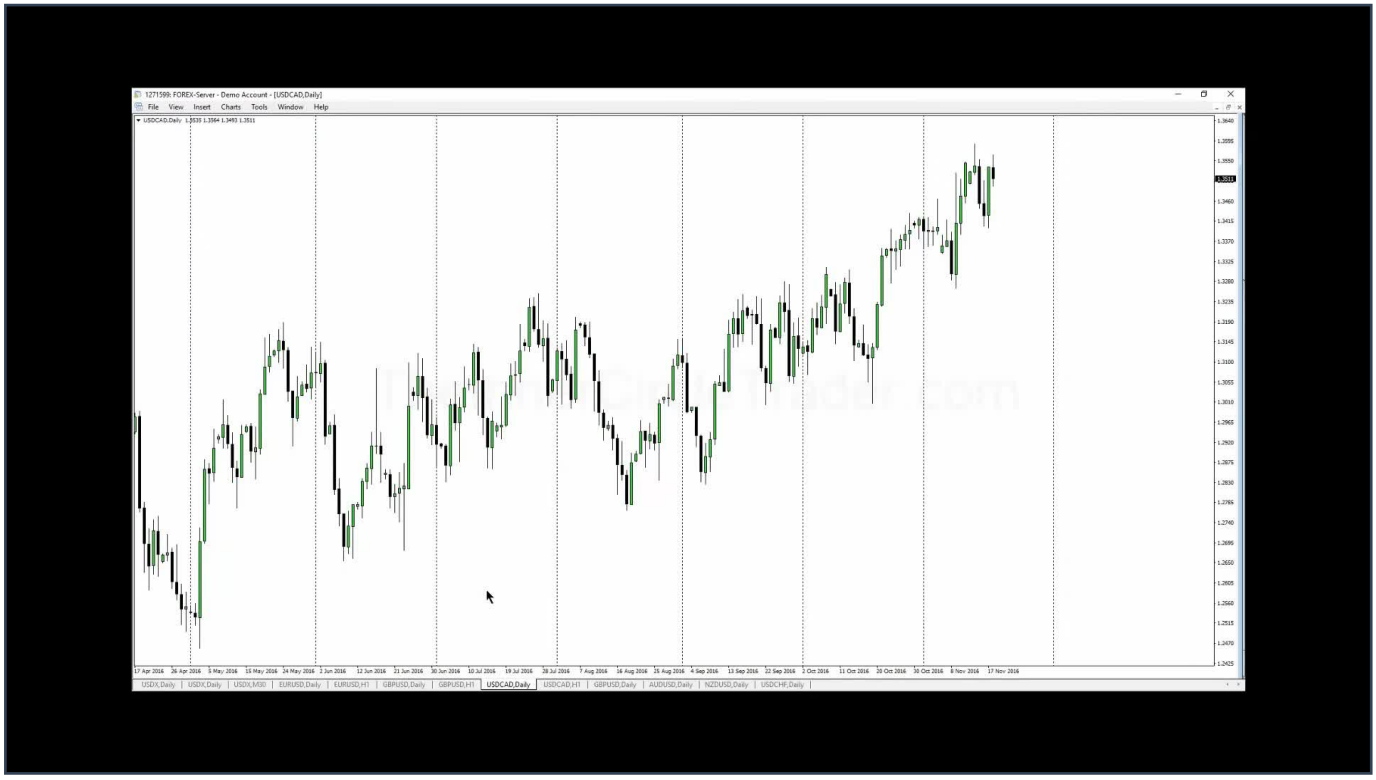
- Then, in the last week of September going into October, we saw this higher high form in the 10-year, while we saw a lower high, or SMT divergence, in the 30-year. Immediately, we saw another decline in both 10-year and 30-year, which is an increase in interest rates.



Right away, we know that there should be an accelerated buy or a rally in the second week of September and the last week of September for the dollar.

- We can see here the Dollar Index: first week of September, here's that low we would expect because we saw an increase in interest rates as a result of the sell-off with the divergence between the 10-year and 30-year bond market. In the last week of September, we saw the market rally away from that point as well. So we have a rally here and a rally here, and it begins that big movement higher.

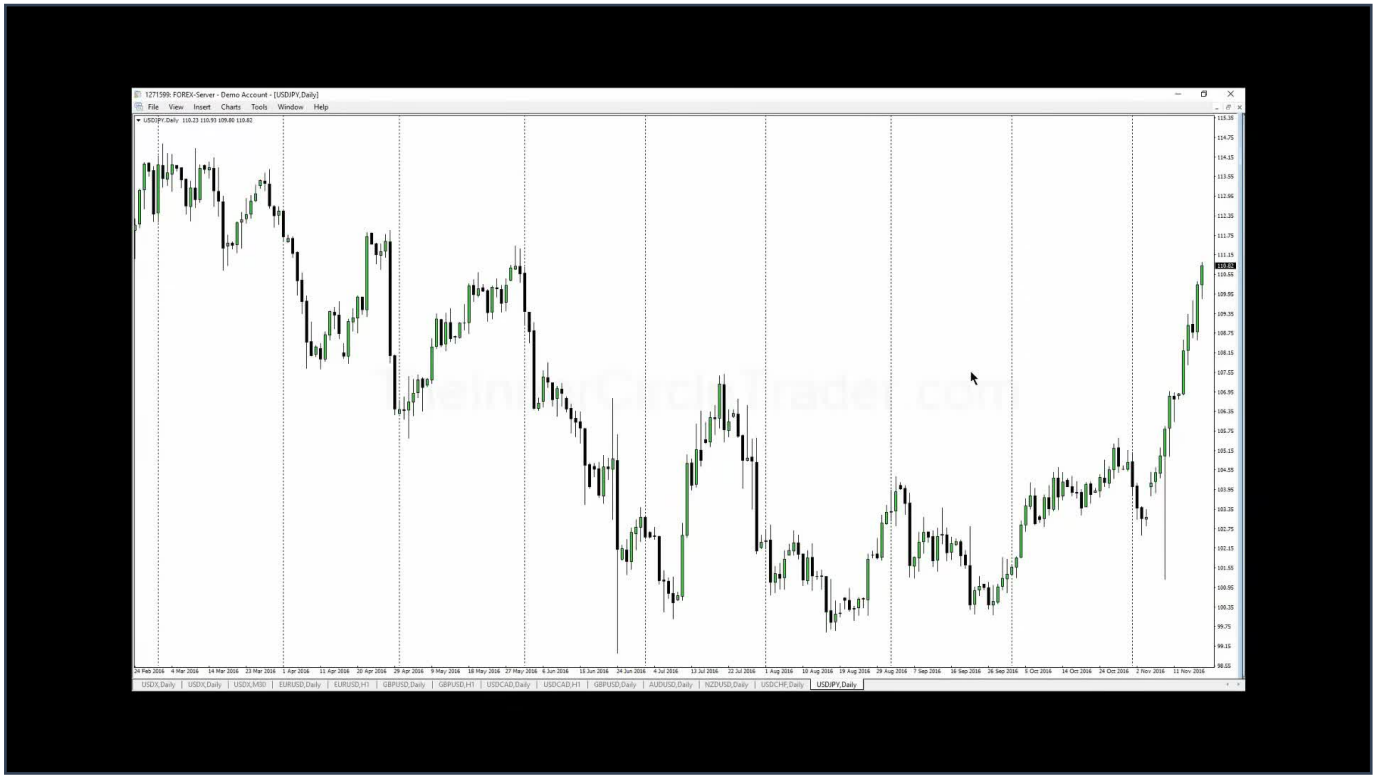
- If we see that in the Dollar Index, we should be seeing rallies in Dollar Swiss (first week of September rallies, last week of September rallies) and Dollar CAD (first week of September rallies, last week of September rallies again).



Let's take a look at the Euro; this will be the opposite. We're going to see a high form the first week of September, and then it sells off again the last week of September, and there you go, it rolls over.

- For the Pound, we should be seeing the high form in the second week of September and a sell-off to the last week of September. So a high here and a high here, an accelerated sell-off. That was the reason why I told you we were going to be looking for these lows to be violated; that was all behind the scenes why I was calling that move, which also led to my target that I shared on Twitter and YouTube, still on my YouTube channel videos, calling for the 1.20 level for the British Pound before Brexit.

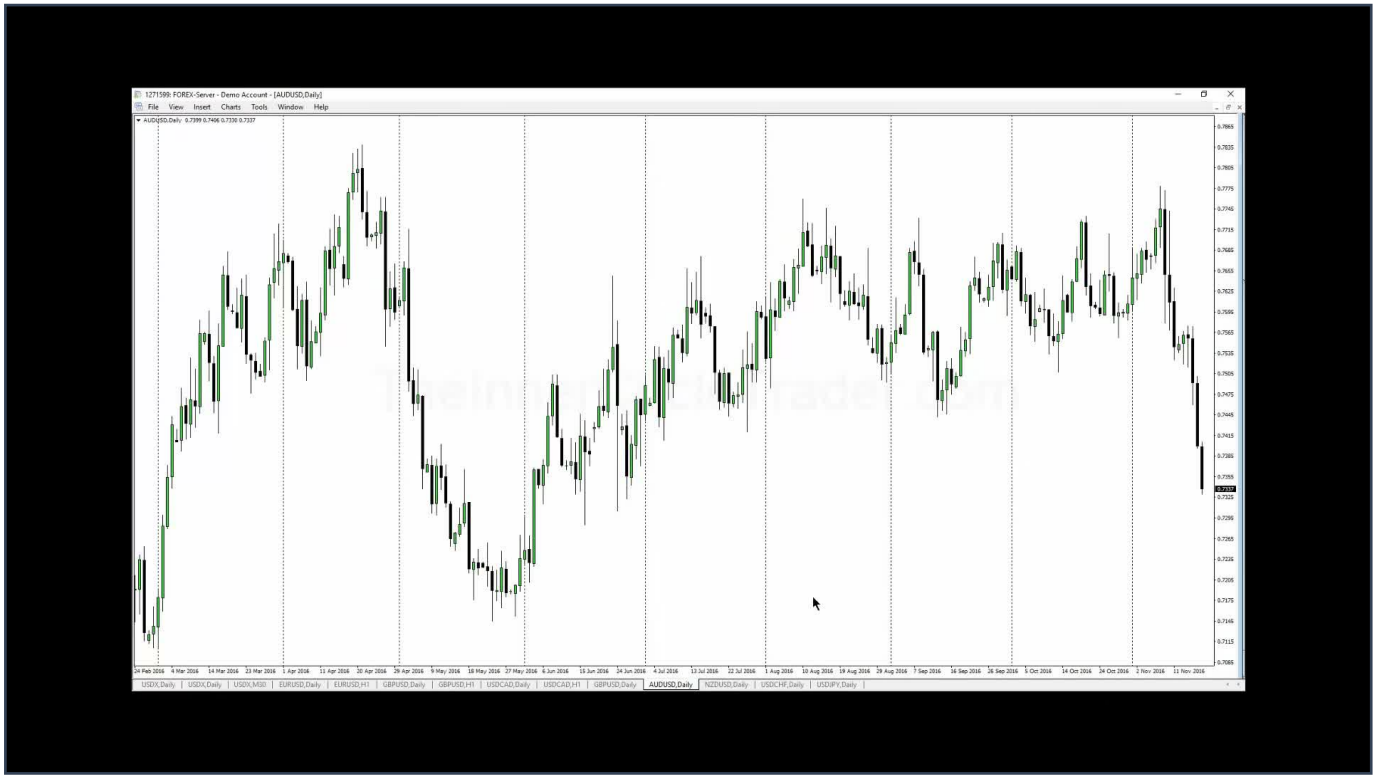
- Let's also look at the Dollar Yen. We have a low that formed in the first week of September and the last of September; there's that buy, and it takes off extremely high.



Again, it's a macro perspective, using macroeconomic principles (interest rates), and then utilizing that down to a micro technical. We can take all this information, and from the month of September, start looking for a reason to be a buyer for all the dollar-based currencies that start with the dollar first in their name; we would be going long those pairs.

- For New Zealand Dollar and Aussie Dollar, we should be seeing a sell-off around the first/second week of the month, and again the last week of the month. You see that as well.

- Again, it helps you build an idea about where the market should go because of the underlying fundamentals, which I don't have to go through fundamental reports to do all that. I can rely on the interest rate markets that I know, which is the bond market and 10-year note. Couple that with the Dollar Index; it's like dependents in the long term for you, and no one can take it from you.

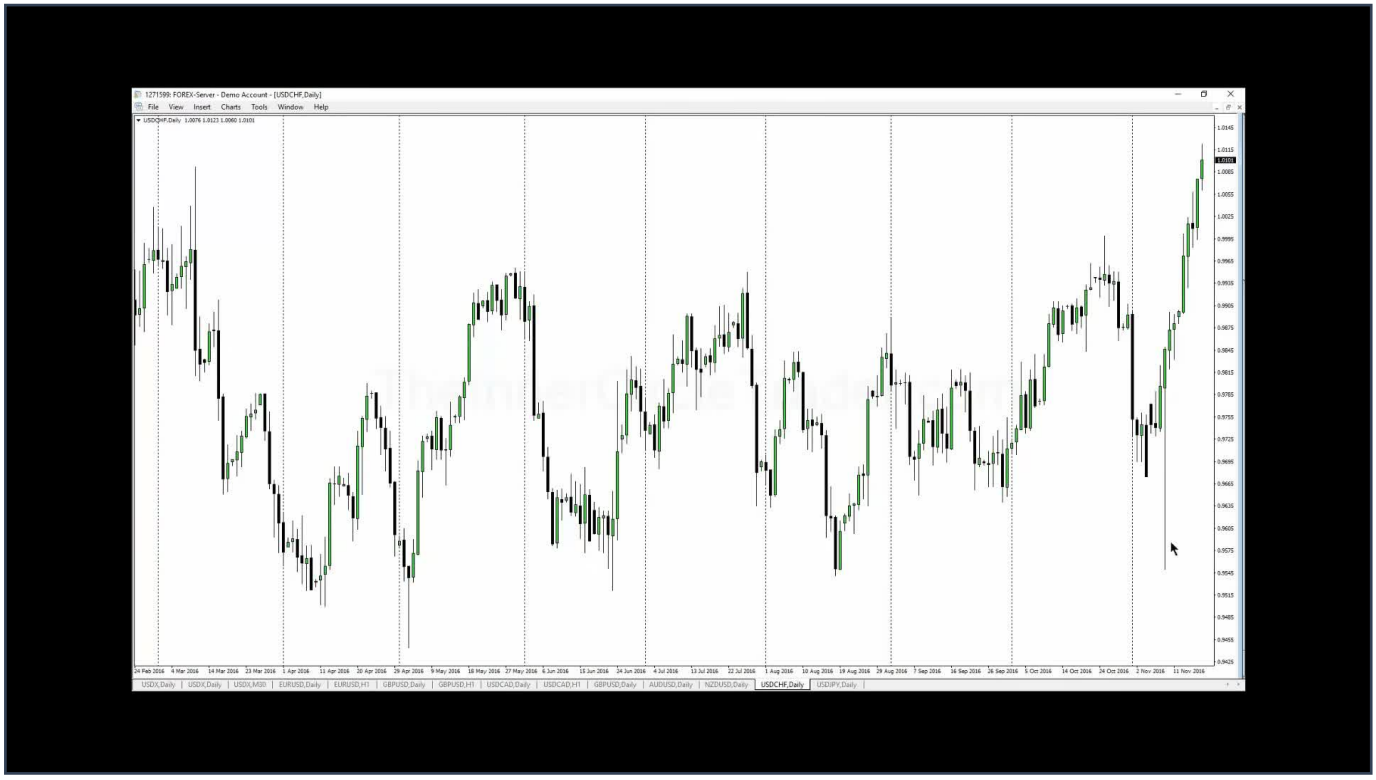


Let's go back to the 10-year and the 30-year note. Now we're going to take a look at the rally higher here on the 10-year that was not seen here on the 30-year. So we know that there's going to be an accelerated rally on the Dollar Index the first week of November, obviously post US elections.

- Now, looking at our Dollar Index chart in November, we made that lower low. That whole overnight fiasco with the sell-off on the dollar and the Dow Jones was all fluff, it was all manipulation.

- Because we see that lower low in the dollar, but we did not see it in higher highs seen in the 10-year and 30-year futures on the debt instruments. So interest rates were calling the shots still, even though there was a short-term 'heart attack' on the charts in this down move on the dollar and Dow Jones overnight the day of the election.

- Everything was put back in gear longer term with the acceleration on the up move on the dollar rally, chasing higher yields.



You can see that also in the form of Dollar Swiss and Dollar CAD (accelerated to the upside).

- Weakness in Aussie dollar, even though it looks like strength above an old high, remember that's that false movement we look for. SMT is telling you it looks bullish, but what's the underlying tone of the marketplace? There's no way the dollar is going to allow Aussie dollar to rally, and that's why we're seeing it give up the ghost. Same thing with the New Zealand dollar: it looks bullish, starting off running just taking out an old high, then running down lower.

- Euro also had that initial run up, clearing an area of buy stops we talked about during this mentorship, hitting 1.13 big figure, and it's been slamming lower since.

- I hope you take this information, keep it close to your vest, don't share it with the general public. Most people will never learn this tactic. I don't have a source to say I learned it from this one or that one; it was just me understanding the bond market as a futures trader and understanding that the interest rate markets basically control everything around the world. Without interest rates, nothing moves. So if I'm going to understand the interest rate market, it stands to reason if I know the bond market and the 10-year note, I'll know everything I need to know.

- Take a look at the German bond, and you'll see that it's been going down also, and that's the reason why I said it was going to go down. Everything that's been shown here today in this teaching, again, please don't make it common knowledge. Until next time, I wish you good luck and good trading.